Cumulus Bank

Wealth management from Cumulus Bank

WEALTH MANAGEMENT · ESTATE SERVICES

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PRODUCT BROCHURE · ESTATE SETTLEMENT

Cumulus Estate Settlement Services

Executor and administrator services during probate — a professional, objective fiduciary to marshal assets, pay debts and taxes, and distribute the estate in accordance with the will and applicable state law.

SERVICE TYPE	**Executor / Administrator / Personal Representative**
AUTHORITY	**State probate code (e.g., NY SCPA, FL F.S. ch. 733)**
ILLUSTRATIVE FEE RANGE	**2.5% – 3.0% of gross estate (statute-based)**
EXAMPLE STATUTES	**NY SCPA §2307; FL F.S. §733.617**
TYPICAL TIMELINE	**9 – 18 months**
STANDARD OF CARE	**Fiduciary; duty of loyalty and care**
COORDINATION WITH	**Estate attorney, tax professional, beneficiaries**
TAX RETURN PREPARATION	**Form 706, 1041, and state equivalents**

AT A GLANCE

Overview

Estate settlement — also called probate administration — is the court-supervised process by which a decedent's debts are paid and their assets are transferred to the beneficiaries named in the will (or to heirs at law in an intestate estate). Cumulus, through its trust affiliate, accepts appointment as executor, administrator, or personal representative. The role carries fiduciary duties to the estate's beneficiaries and creditors and is governed by the probate code of the state in which the decedent was domiciled.

Investment products are not FDIC insured, not bank guaranteed, and may lose value. Estate assets that are held in investment accounts during the administration period remain subject to market risk.

AN OBJECTIVE, PROFESSIONAL FIDUCIARY

Why engage a corporate executor

OBJECTIVE DECISION-MAKING

Objective decision-making

A corporate executor is neutral among family members and is unaffected by grief, distance, or family dynamics. The executor applies the will and the law without the personal conflicts that sometimes complicate a family member's service.

INSTITUTIONAL DEPTH

Institutional depth

Experienced administrators, fiduciary tax specialists, real-estate and special-asset capabilities, and established relationships with appraisers, probate counsel, and the courts.

CONTINUOUS SERVICE

Continuous service

Administrators do not age, relocate, or become unavailable. Settlements that span 12–18 months or longer — the norm in larger estates — benefit from institutional continuity.

PROPER RECORDKEEPING

Proper recordkeeping

Complete books of the estate, periodic accountings, receipts and releases, and well-documented distribution files that withstand beneficiary inquiry and court scrutiny.

SPECIALIZED TAX EXPERTISE

Specialized tax expertise

Preparation of Form 706 (federal estate-tax return), state estate or inheritance returns, final Form 1040 for the decedent, and Form 1041 for the estate's income tax period.

PROFESSIONAL RISK MANAGEMENT

Professional risk management

Corporate fiduciaries carry errors-and-omissions and fidelity coverage; an individual executor carries personal liability.

A STRUCTURED TIMELINE

The estate settlement process

PHASE	PRINCIPAL ACTIVITIES	TYPICAL TIMING
1 · Initial review	Confirm appointment; locate the original will; identify heirs and beneficiaries; review assets, debts, and key documents.	Days 1–14
2 · Probate petition	File petition for probate; obtain Letters Testamentary (or Letters of Administration); provide statutory notices; post bond if required.	Weeks 2–6
3 · Inventory and appraisal	Marshal assets; obtain date-of-death valuations for securities, real estate, closely-held businesses, personal property, and digital assets.	Months 2–4
4 · Claims and debts	Publish notice to creditors; review and approve or reject claims; pay valid debts, funeral costs, and administrative expenses.	Months 2–8
5 · Tax compliance	File and pay federal estate tax (Form 706, generally due 9 months after date of death), state estate or inheritance tax, final 1040, and Form 1041 for the estate.	Months 4–12
6 · Distribution and closing	Distribute specific bequests; fund testamentary trusts; issue residuary distributions; obtain receipts and releases; file final accounting; close the estate.	Months 9–18

STATUTE-BASED IN MOST STATES

Executor commissions and fees

Executor compensation in most states is established by statute and is calculated as a percentage of the estate's value. The specific schedule varies. The tables below illustrate two common frameworks — the New York Surrogate's Court Procedure Act §2307 schedule and the Florida Probate Code §733.617 schedule. The Cumulus practice is to follow the applicable statute; where a state does not prescribe a specific rate, a reasonable compensation standard is applied.

New York — SCPA §2307 (illustrative tiers)

ESTATE SIZE TIER	COMMISSION RATE	NOTES
First $100,000	5.0%	Applied to gross estate within tier.
Next $200,000	4.0%	Applied to gross estate within tier.
Next $700,000	3.0%	Applied to gross estate within tier.
Next $4,000,000	2.5%	Applied to gross estate within tier.
Over $5,000,000	2.0%	Applied to gross estate within tier.

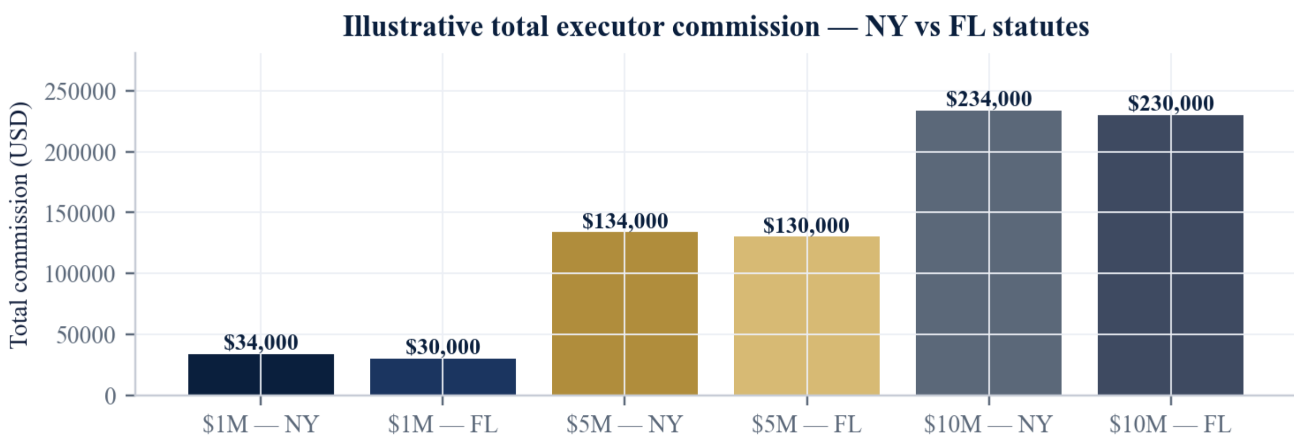
Florida — F.S. §733.617 (illustrative tiers)

ESTATE SIZE TIER	COMMISSION RATE	NOTES
First $1,000,000	3.0%	Applied to gross estate within tier.
Next $4,000,000 ($1M–$5M)	2.5%	Applied to gross estate within tier.
Next $5,000,000 ($5M–$10M)	2.0%	Applied to gross estate within tier.
Over $10,000,000	1.5%	Applied to gross estate within tier.

COMPARISON ACROSS JURISDICTIONS

Illustrative executor fee at common estate sizes

The chart below illustrates the approximate total executor commission at several estate-size points, applying the NY SCPA §2307 and FL F.S. §733.617 schedules summarized above. Actual compensation depends on the specific estate's assets, the applicable state statute, any extraordinary services performed, and any court adjustment.



INTERPRETING THE CHART

At $1M: NY $34,000 (5% of $100K + 4% of $200K + 3% of $700K) and FL $30,000 (3% of $1M). At $5M: NY $134,000 and FL $130,000. At $10M: NY $234,000 and FL $230,000. The two statutes produce similar results at common estate sizes, with NY slightly higher under $10M and the two converging above.

WHAT THE ROLE ENTAILS

Fiduciary responsibilities of the executor

Asset and beneficiary duties

— Marshal assets; obtain date-of-death valuations; secure property, including real estate and tangible personal items.

— Provide required notices to beneficiaries under the applicable state probate code.

— Preserve asset value; invest liquid estate assets prudently pending distribution.

— Distribute specific bequests; fund testamentary trusts; make interim and residuary distributions on a timeline permitted by statute.

— Obtain signed receipts and releases from beneficiaries upon final distribution.

Creditor and tax duties

— Publish notice to creditors; review claims; pay valid debts within statutory priority order.

— File the decedent's final Form 1040 covering the period through date of death.

— File Form 706 (federal estate tax) where required, generally within nine months of the date of death (with a six-month extension available).

— File state estate or inheritance tax returns; coordinate with the affiliate fiduciary tax group and external tax counsel.

— File Form 1041 for the estate's income-tax year(s) during administration; issue Schedule K-1s to beneficiaries.

COMMON QUESTIONS

Frequently asked questions

Why is a probate estate needed if the decedent had a revocable trust?

Probate is required to transfer any asset titled solely in the decedent's name that was not retitled to the trust during life and that did not pass by operation of law or beneficiary designation. A well-funded revocable trust with a pour-over will minimizes probate but rarely eliminates it entirely; there is almost always a residual probate estate.

How long does estate settlement take?

Most estates close within 9 to 18 months. Factors that lengthen the timeline include closely-held business interests, real estate in multiple states (ancillary probate), federal and state estate-tax returns, contested wills, and unresolved creditor claims. Large or complex estates can take multiple years.

What is the executor's personal liability?

An executor has fiduciary duties of loyalty and care and may be personally liable for loss caused by breach of duty. Executors are also personally responsible for unpaid federal and state taxes if estate assets are distributed before those taxes are paid (IRC §6901; 31 U.S.C. §3713). A corporate executor carries professional coverage; a family member does not.

Can the executor serve alongside a family member?

Yes. Many families appoint Cumulus as executor with a family member as co-executor. Cumulus handles the administrative, investment, and tax burden; the family co-executor provides personal knowledge of the decedent's wishes and of specific personal-property items.

How are executor commissions paid?

Commissions are typically paid from estate assets at the close of the administration, often in two installments (partial 'receiving' commission after inventory, balance at final accounting). In most states, commissions are reported as ordinary income to the executor; the estate is entitled to a corresponding deduction.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Investment products and advisory services are offered through Cumulus Investment Services, LLC, a registered broker-dealer (member FINRA / SIPC) and an SEC-registered investment adviser, and an affiliate of Cumulus Bank, N.A.
§ Securities and advisory products: NOT FDIC INSURED · NOT BANK GUARANTEED · MAY LOSE VALUE · NOT A DEPOSIT · NOT INSURED BY ANY FEDERAL GOVERNMENT AGENCY.
§ Asset allocation and diversification do not ensure a profit or protect against loss in a declining market. Past performance is not a guarantee of future results.
§ Before investing, carefully consider the investment objectives, risks, charges, and expenses. Request a prospectus or Form ADV Part 2A disclosure brochure from your Cumulus advisor and read it carefully before investing.
§ Estate settlement services are offered through Cumulus Trust Company, N.A., a national trust bank and affiliate of Cumulus Bank, N.A. Acceptance of an executor, administrator, or personal-representative appointment is at the discretion of Cumulus Trust Company, N.A. following review of the will, the nature of the estate, and applicable state probate law.
§ Executor commissions are governed by the probate statute of the state in which the decedent was domiciled. The New York (SCPA §2307) and Florida (F.S. §733.617) schedules in this brochure are illustrative; fees in other jurisdictions may differ materially.
§ Cumulus does not provide legal or tax advice. Specific probate, tax, and fiduciary questions should be directed to the estate attorney and tax professional engaged by the estate.

NEXT STEPS

Speak with a Cumulus wealth advisor

A Cumulus advisor will review your objectives, time horizon, and tax considerations; explain the products and services available to you; and deliver a written proposal. Requests received today are typically returned within one business day.

ADVISOR LINE	954.417.2880 Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET
ONLINE	cumulusbank-demo-bb054209d76d.herokuapp.com Apply online, review rates, or schedule an appointment.
PRIVATE OFFICE	Wealth Management offices are available by appointment. Request a meeting at cumulusbank-demo-bb054209d76d.herokuapp.com/wealth.